



Qualification Programme Examination Panelist's Report

Module 1 – Accounting (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This paper consisted of 15 multiple-choice questions. The session contained questions covering a wide range of topics in the syllabus, including both conceptual and computational types. The syllabus of this paper relates broadly to the following topic areas:

- (a) Explaining the purpose of accounting;
- (b) Demonstrating an understanding of accounting principles;
- (c) Preparing accounting records and demonstrating management and control; and
- (d) Preparing and presenting financial statements from a trial balance or from incomplete records.

The multiple-choice questions in this paper can be divided into two broad categories:

- (a) Conceptual questions with 1 mark each; and
- (b) Computational questions with 2 marks each.

On the whole, candidates' performance in this session was satisfactory, particularly on the computational questions, as computations is one of the key elements in accounting. Candidates should improve their performance on foundational and conceptual questions in order to achieve better results.

Specific Comments

In general, candidates performed well on computational questions but showed weaknesses in the following areas:

- (a) Differentiating qualitative characteristics of accounting information;
- (b) Defining the revenue for a company;
- (c) Defining the purpose of financial statements;
- (d) Understanding the effects of transactions on accounting equations;
- (e) Calculating impairment loss on trade receivables; and
- (f) Calculating the cost of goods manufactured.

Candidates' performance on questions related to foundational accounting knowledge



was relatively weak. A number of candidates did not perform well on areas related to basic knowledge, particularly on the purpose of financial statements and the qualitative characteristics of accounting information. These are fundamental aspects of accounting but these candidates might not have sufficiently covered the syllabus in depth.

(II) Section B – Written Questions

General Comments

The written questions tested the candidates' knowledge of accounting concepts, inventory loss, and bank reconciliation statements. In addition, candidates were required to prepare financial statements, which was the most important part of this section.

In general, performance in this section was fair. Candidates were proficient in calculation-type questions but weak in essay or case-type questions. Candidates seem to have had difficulty in providing appropriate and sufficient rationale to support their answers or they may have misinterpreted the questions. With regard to calculations, candidates performed well in structure-type questions, particularly on the preparation of financial statements based on trial balance provided. However, candidates showed difficulty in handling unstructured-type questions, such as those with incomplete information or missing figures.

Specific Comments

Question 1(a) – 15 Marks

This question required candidates to prepare a statement of profit or loss and other comprehensive income for a limited company in accordance with HKAS 1 (Revised).

The performance was satisfactory. Many candidates demonstrated an understanding of the format and presentation of the statement, and most were able to present the "other comprehensive income" section. Many candidates did not account for the value of the closing inventory using the concept of "lower of cost and net realisable value". In addition, some candidates did not take into consideration the equipment acquired when calculating depreciation of equipment.

Question 1(b) – 16 Marks

This question required candidates to prepare a statement of financial position for a limited company in accordance with HKAS 1 (Revised).

The performance was satisfactory as most candidates demonstrated an understanding of the format and presentation of the statement. However, some candidates were not able to distinguish between non-current liabilities and current liabilities and incorrectly



classified “Bank loan” as current liabilities. Additionally, many candidates failed to account for the acquisition of equipment by way of ordinary shares.

Question 2 – 12 Marks

This question required candidates to apply their judgement and analyse the two cases by identifying and explaining the accounting basis/concepts/qualitative characteristics that had been violated.

The performance on this question was unsatisfactory. For case (1), most candidates appropriately identified the concept of accrual. A few candidates mentioned faithful representation, which was acceptable if supported with appropriate justification. Many candidates failed to mention that revenue should be recognized in the subsequent year instead of the current year. For case (2), the majority of the candidates were able to set out their answers correctly and in a logical manner. However, a few incorrectly stated that the depreciation method could be changed to a straight-line method. This implied that the candidates’ conceptual knowledge was weak and should be strengthened.

Question 3(a) – 4 Marks

This question required candidates to determine the amount of credit purchases based on the information provided. The question tested candidates’ ability to extract purchase related information to determine the answer through incomplete records.

The performance on this question was unsatisfactory. Most candidates mixed up sales related information and did not understand the compositions of trade payables balance. Items such as “Discounts received” and “Returns outwards” were omitted in the calculation. Many candidates also failed to determine the answer using the “Trade Payables” account, which indicated that their foundational understanding of ledger accounts should be further enhanced.

Question 3(b) - 4 Marks

This question required candidates to determine the balance of trade receivables based on the information provided. The question tested candidates’ ability to extract sales related information to determine the answer through incomplete records.

Candidates performed fairly on this question. Many candidates understood the constitution of trade receivable balance. Only a few failed to consider “Bad debts” and “Discounts allowed”. Many candidates also derived the answer using a formula instead of the “Trade Receivables” account. This indicated that they were not familiar with the foundational knowledge of ledger accounts.

Question 3(c) – 7 Marks

This question required candidates to determine the net inventory loss caused by the fire with some missing figures.



The performance on this question was poor. The majority of candidates did not understand the fundamental concept of mark-up and margin and failed to consider the transactions affecting movement of inventory. Most candidates only correctly showed “Opening inventory”, “Closing inventory”, and “Goods returned to suppliers”. As some of the missing figures in this question were dependent on the answers from Questions 3(a) and 3(b), a few candidates failed to attempt this question as they seemed to have lacked the confidence to answer correctly.

Question 4(a) – 8 Marks

This question required candidates to update the bank column in the cash book of a limited company.

Candidates performed fairly in this question. Most candidates were able to identify errors and made necessary adjustments in the cash book. Some candidates did not fully understand the concept of ledger accounts and mixed up the debit side and credit side of the account or even failed to provide the answer through the bank ledger account.

Question 4(b) – 8 Marks

This question required candidates to prepare a bank reconciliation statement for a limited company.

Candidates performed fairly in this question. Most candidates correctly identified items to reconcile such as unpresented cheques and deposits in transit. A few failed to demonstrate an understanding of the format and presentation of bank reconciliation statements.

Question 4(c) – 6 Marks

This question required candidates to state three examples of internal control over cash receipts of the retail stores. This is a case-type question with the aim of testing candidates’ ability to apply and integrate their knowledge into a real-life situation.

The performance on this question was unsatisfactory. Most candidates misinterpreted the question and failed to provide an answer specific to the retail stores’ situation. Some candidates gave incorrect answers related to internal control over the cheque recording process instead of cash receipts. A few did not attempt this question.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. Candidates were familiar with the key accounting topics such as the preparation of financial statements.

Candidates are advised to strengthen fundamental accounting topics such as the



classification of accounting items, accounting equations, and the concept of double entries systems together with ledger accounts.

Candidates are also advised to put more effort into specialized topics such as incomplete records, impairment loss on trade receivables, and bank reconciliation statements.

Candidates are encouraged to improve their writing skills and be more confident in answering essay or case-type questions as these questions seek to develop their foundational knowledge for the forthcoming module examinations. These could be improved by practicing the examination-type questions from the pilot paper, past examination papers, and study materials.

Candidates are reminded to read the questions carefully and to address the requirements of the questions. For essay-type question, it is important to demonstrate an understanding of how the answers are being structured.